

We will observe that in cash flow ratios.

.1

Formula: **CFO / EBITDA**



Ideally it should be closer to 1.

CFO = Rs. 323 Cr.

EBITDA = Rs. 440 Cr.

$$\text{CFO} / \text{EBITDA} = \frac{\text{Rs. 323 Cr.}}{\text{Rs. 440 Cr.}} = 0.7 \text{ Times}$$

As time goes on, this number should be closer to one. This guarantees that the majority of our profits are converted into cash. Closer to 1 this number is, more healthy is the company's cash generating ability.

.2

Formula: **CFO / Net Profit Margin**

$$\text{CFO} / \text{Net Profit} = \frac{\text{Rs. 323 Cr.}}{\text{Rs. 242 Cr.}} = 1.25 \text{ Times}$$

.3

Formula: **CFO / Revenue**

$$\text{CFO Margin} = \frac{\text{Rs. 323 Cr.}}{\text{Rs. 6410 Cr.}} = 5\%$$

Cash Flow ratios help us analyze how well are we able to convert our profits into cash. Because without cash we might not be able to sustain or run our businesses. Many companies in the past have generated attractive returns in profits but have As its said - Cash is King, Profit is Queen! We want to ensure that the company generates cash.